**SECURITIES AND EXCHANGE COMMISSION**

**RIN 3235-AM62**

**[Release No. 34- 89632; File No. S7-10-20]**

**August 21, 2020**

**Amendments to the National Market System Plan Governing the Consolidated Audit Trail to Enhance Data Security**

**AGENCY:** Securities and Exchange Commission.

**ACTION:** Proposed amendments to national market system plan.

**SUMMARY:** The Securities and Exchange Commission is proposing amendments to the national market system plan governing the consolidated audit trail. The proposed amendments are designed to enhance the security of the consolidated audit trail.

**DATES:** Comments should be received on or before [insert date 45 days after date that release is published in the Federal Register].

**ADDRESSES:** Comments may be submitted by any of the following methods:

Electronic Comments:

- Use the Commission's Internet comment form (http://www.sec.gov/rules/proposed.shtml); or
- Send an e-mail to rule-comments@sec.gov. Please include File No. S7-10-20 on the subject line.

Paper Comments:

- Send paper comments to Secretary, Securities and Exchange Commission, 100 F Street, NE, Washington, DC 20549-1090.

All submissions should refer to File No. S7-10-20. This file number should be included on the subject line if e-mail is used. To help us process and review your comments more efficiently,

please use only one method. The Commission will post all comments on the Commission's Internet Web site (http://www.sec.gov/rules/proposed.shtml). Comments are also available for Web site viewing and printing in the Commission's Public Reference Room, 100 F Street, NE, Washington, DC 20549 on official business days between the hours of 10:00 a.m. and 3:00 p.m. All comments received will be posted without change. Persons submitting comments are cautioned that the Commission does not redact or edit personal identifying information from comment submissions. You should submit only information that you wish to make available publicly.

Studies, memoranda, or other substantive items may be added by the Commission or staff to the comment file during this rulemaking. A notification of the inclusion in the comment file of any such materials will be made available on the Commission's website. To ensure direct electronic receipt of such notifications, sign up through the "Stay Connected" option at www.sec.gov to receive notifications by email.

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**SUPPLEMENTARY INFORMATION:** The Commission is proposing amendments to the CAT NMS Plan.

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## I. Background

In July 2012, the Securities and Exchange Commission (the "Commission") adopted Rule 613 of Regulation NMS, which required national securities exchanges and national securities associations (the "Participants")[1] to jointly develop and submit to the Commission a national market system plan to create, implement, and maintain a consolidated audit trail (the "CAT").[2] The goal of Rule 613 was to create a modernized audit trail system that would provide regulators with more timely access to a sufficiently comprehensive set of trading data, thus enabling regulators to more efficiently and effectively reconstruct market events, monitor market behavior, and investigate misconduct. On November 15, 2016, the Commission approved the national market system plan required by Rule 613 (the "CAT NMS Plan").[3]

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[1] The Participants include BOX Exchange LLC, Cboe BYX Exchange, Inc., Cboe BZX Exchange, Inc., Cboe C2 Exchange, Inc., Cboe EDGA Exchange, Inc., Cboe EDGX Exchange, Inc., Cboe Exchange, Inc., Financial Industry Regulatory Authority, Inc., Investors' Exchange LLC, Long-Term Stock Exchange, Inc., MEMX LLC, Miami International Securities Exchange LLC, MIAX Emerald, LLC, MIAX PEARL, LLC, Nasdaq BX, Inc., Nasdaq GEMX, LLC, Nasdaq ISE, LLC, Nasdaq MRX, LLC, Nasdaq PHLX LLC, The Nasdaq Stock Market LLC, New York Stock Exchange LLC, NYSE American LLC, NYSE Arca, Inc., NYSE Chicago, Inc., and NYSE National, Inc.

[2] See Securities Exchange Act Release No. 67457 (July 18, 2012), 77 FR 45722 (August 1, 2012) ("Rule 613 Adopting Release").

[3] Securities Exchange Act Release No. 78318 (November 15, 2016), 81 FR 84696, (November 23, 2016) ("CAT NMS Plan Approval Order"). The CAT NMS Plan is Exhibit A to the CAT NMS Plan Approval Order. See CAT NMS Plan Approval Order, at 84943-85034. The CAT NMS Plan functions as the limited liability company agreement of the jointly owned limited liability company formed under Delaware state law through which the Participants conduct the activities of the CAT (the "Company"). Each Participant is a member of the Company and jointly owns the Company on an equal basis. The Participants submitted to the Commission a proposed amendment to the CAT NMS Plan on August 29, 2019, which they designated as effective on filing. Under the amendment, the limited liability company agreement of a new limited liability company named Consolidated Audit Trail, LLC serves as the CAT NMS Plan, replacing in its entirety the CAT NMS Plan. See Securities Exchange Act Release No. 87149 (September 27, 2019), 84 FR 52905 (October 3, 2019).

The security and confidentiality of CAT Data[4] has been – and continues to be – a top priority of the Commission. The CAT NMS Plan approved by the Commission already sets forth a number of requirements regarding the security and confidentiality of CAT Data. The CAT NMS Plan states, for example, that the Plan Processor[5] shall be responsible for the security and confidentiality of all CAT Data received and reported to the Central Repository.[6] In furtherance of this directive, the CAT NMS Plan requires the Plan Processor to develop and maintain an information security program for the Central Repository. The Plan Processor must have appropriate solutions and controls in place to address data confidentiality and security during all communication between CAT Reporters,[7] Data Submitters,[8] and the Plan Processor; data extraction, manipulation, and transformation; data loading to and from the Central Repository;

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4 "CAT Data" is a defined term under the CAT NMS Plan and means "data derived from Participant Data, Industry Member Data, SIP Data, and such other data as the Operating Committee may designate as 'CAT Data' from time to time." See CAT NMS Plan, supra note 3, at Section 1.1.

5 "Plan Processor" is a defined term under the CAT NMS Plan and means "the Initial Plan Processor or any other Person selected by the Operating Committee pursuant to SEC Rule 613 and Sections 4.3(b)(i) and 6.1, and with regard to the Initial Plan Processor, the Selection Plan, to perform the CAT processing functions required by SEC Rule 613 and set forth in this Agreement." See id.

6 See id. at Section 6.5(f)(i). "Central Repository" is a defined term under the CAT NMS Plan and means "the repository responsible for the receipt, consolidation, and retention of all information reported to the CAT pursuant to SEC Rule 613 and this Agreement." See id.

7 "CAT Reporter" is a defined term under the CAT NMS Plan and means "each national securities exchange, national securities association and Industry Member that is required to record and report information to the Central Repository pursuant to SEC Rule 613(c)." See id.

8 "Data Submitter" is a defined term under the CAT NMS Plan and means "national securities exchanges, national securities associations, broker-dealers, the SIPs for the CQS, CTA, UTP and Plan for Reporting of Consolidated Options Last Sale Reports and Quotation Information ("OPRA") Plans, and certain other vendors or appropriate third parties." See id. at Appendix C, Section A(1)(a).

and data maintenance by the CAT System.[9] The CAT NMS Plan also sets forth minimum data security requirements for CAT that the Plan Processor must meet, including requirements governing connectivity and data transfer, data encryption, data storage, data access, breach management, data requirements for personally identifiable information ("PII"),[10] and applicable data security industry standards.[11] CAT Data reported to and retained in the Central Repository is thus subject to what the Commission believes are stringent security policies, procedures, standards, and controls. Nevertheless, the Commission believes that it can and should take additional steps to further protect the security and confidentiality of CAT Data. Therefore, the Commission proposes to amend the CAT NMS Plan to enhance the security of the CAT and the protections afforded to CAT Data.

Specifically, the Commission proposes to amend the CAT NMS Plan to: (1) define the scope of the current information security program; (2) require the Operating Committee[12] to establish and maintain a security-focused working group; (3) require the Plan Processor to create secure analytical workspaces, direct Participants to use such workspaces to access and analyze

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9 See id. at Appendix D, Section 4.1. "CAT System" is a defined term in the CAT NMS Plan and means "all data processing equipment, communications facilities, and other facilities, including equipment, utilized by the Company or any third parties acting on the Company's behalf in connection with operation of the CAT and any related information or relevant systems pursuant to [the CAT LLC Agreement]." See CAT NMS Plan, supra note 3, at Section 1.1.

10 "PII" is a defined term under the CAT NMS Plan and means "personally identifiable information, including a social security number or tax identifier number or similar information; Customer Identifying Information and Customer Account Information." See id. at Section 1.1.

11 See id. at Section 6.12; see also id. at Appendix D, Section 4.

12 "Operating Committee" is a defined term in the CAT NMS Plan and means "means the governing body of the Company designated as such and described in Article IV." See id. at Section 1.1.